

Tutorial 9

Volume, Volume Profile, and Price Acceptance

Use volume as a participation map, not a magic signal.

Student Guide | Trading Education Workbook

Purpose of this handout

This document turns one coaching topic into a focused lesson, practice routine, and homework assignment. It is written for education and paper-trading practice only. It is not financial advice and does not recommend buying, selling, shorting, or holding any security.

Source of the lesson

Based on the coaching conversation with Val and Adel on technical execution, risk management, chart study, market structure, and options/catalyst awareness. External references are included to deepen the concept and give the student reliable follow-up reading.

How to use this tutorial

- Read the objective and key terms first.
- Study the chart logic slowly before trying to trade it.
- Complete the practice drill using paper trading or chart replay.
- Answer the homework questions at the end in writing.

Learning Objective

By the end of this tutorial, the student should understand how volume and volume profile help identify price acceptance, rejection, high-volume nodes, low-volume nodes, and areas where price may rotate or move quickly.

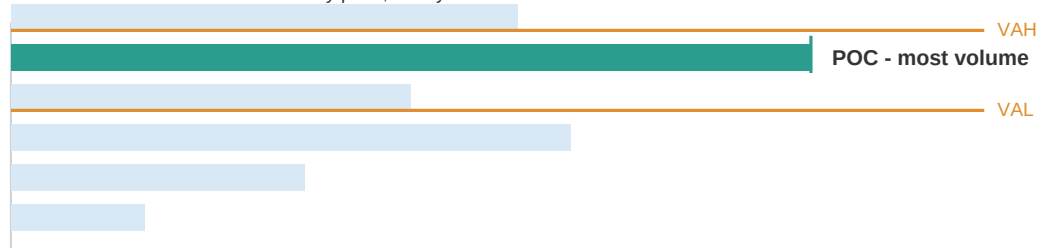
One-sentence lesson

Volume tells us participation; volume profile tells us where participation happened by price. Together, they help map likely magnets, rejection zones, and fast-move areas.

Key Terms

Term	Student Definition	Use in the Lesson
Volume	The number of shares/contracts traded during a candle or period.	Shows participation behind price movement.
Volume Profile	A horizontal map of volume traded at different price levels.	Shows where the market spent the most activity.
POC	Point of Control: the price level with the most volume in the selected range.	Often acts as a magnet or fair-value reference.
Value Area	The range around the POC containing a large portion of the selected volume.	Helps define accepted value.
VAH / VAL	Value Area High and Value Area Low.	Boundaries for value-area rotation or breakout.
HVN / LVN	High-volume node and low-volume node.	HVN may rotate; LVN may move quickly.

Volume Profile = where volume traded by price, not by time.



Why Volume Profile Adds Depth

In the coaching session, Adel mentioned fixed volume profile, gaps, short-term mean reversion, price magnets, and institutional activity. The deeper concept is price acceptance. If large volume traded at a level, the market spent time and business there. If little volume traded, price may pass through that area more quickly.

Important warning

Volume Profile is not a buy/sell signal. It is a map. The student still needs price action, VWAP, moving averages, structural levels, and risk rules before planning a trade.

Acceptance vs Rejection

Behavior	What It Suggests	Student Observation
Price rotates around POC	Market is accepting or balancing near fair value.	Avoid forcing breakout trades.
Price accepts above VAH	Potential strength above value.	Look for retest/hold and volume.
Price rejects above VAH	Failed breakout or trap risk.	Do not chase; reassess.
Price accepts below VAL	Potential weakness below value.	Look for continuation or retest.
Price crosses LVN quickly	Low prior activity can create fast movement.	Manage stops carefully.
Price stalls at HVN	High prior activity can slow price or create rotation.	Expect chop unless volume expands.

Fixed-Range Volume Profile Process

- 1. Choose the correct range: session open to current time, a gap area, a consolidation, or a trend leg.
- 2. Mark the POC, VAH, and VAL.
- 3. Mark high-volume nodes where price may rotate or slow.
- 4. Mark low-volume nodes where price may travel quickly.
- 5. Compare the profile with VWAP, anchored VWAP, SMA/EMA lines, and structural support/resistance.
- 6. Ask whether price is accepting above value, rejecting value, rotating inside value, or breaking through low-volume space.
- 7. Only after this map is complete should a trade plan be considered.

Volume Confirmation Rules

Price Move	Volume Behavior	Interpretation
Uptrend advance	Volume expands	Healthier participation.
Uptrend pullback	Volume contracts	Normal pullback is possible.
Breakout	Volume expands	Breakout has more credibility.
Breakout	Volume dries up	Higher false-breakout risk.
Gap move	High volume holds gap	Acceptance risk/reward may improve.
Gap move	Volume fades and price rejects	Mean-reversion risk increases.

Practice Drill

Complete this drill on a 5-minute or 15-minute chart using fixed-range volume profile.

Item to Submit	Done
Draw fixed-range volume profile from session open to current price.	
Mark POC, VAH, VAL, HVN, and LVN.	
Mark VWAP and the nearest SMA/EMA level.	
Write whether price is accepting, rejecting, rotating, or moving quickly through low-volume space.	
Write one trade idea and one no-trade reason.	

Mistakes to Avoid

- Treating the POC as an automatic entry.
- Using a profile range that has nothing to do with the trade idea.
- Forgetting that new volume can change the profile during the session.
- Ignoring VWAP and structural levels when volume profile conflicts.
- Trading a low-volume breakout without confirmation.

Research References

1. **TradingView - Volume Profile Indicators: Basic Concepts**
Explains Point of Control, Value Area, Value Area High, and Value Area Low.
<https://www.tradingview.com/support/solutions/43000502040-volume-profile-indicators-basic-concepts/>
2. **StockCharts ChartSchool - Volume-by-Price**
Explains horizontal volume by price range and how high-volume price ranges can mark support/resistance areas.
<https://chartschool.stockcharts.com/table-of-contents/technical-indicators-and-overlays/technical-overlays/volume-by-price>
3. **StockCharts ChartSchool - TA 101 Part 10**
Explains how volume can confirm an uptrend or downtrend when volume expands in the direction of the trend.
<https://chartschool.stockcharts.com/table-of-contents/overview/technical-analysis-101/ta-101-part-10>
4. **TradingView - Volume Profile: Indicators and Strategies**
Provides additional practical examples of using volume profile tools and POC-style levels in TradingView.
<https://www.tradingview.com/scripts/volumeprofile/>

Homework - Complete Before the Next Session

Use one historical chart. Attach or recreate the chart markings in your notes.

Question / Prompt	Student Answer
What range did you select for the fixed volume profile, and why?	
Where was the POC? Did price treat it like a magnet or ignore it?	
Where were VAH and VAL? Did price accept or reject near either boundary?	
Identify one high-volume node. Did price slow, rotate, or bounce there?	
Identify one low-volume node. Did price move quickly through it?	
Was volume confirming the price move or warning of weakness?	
How did VWAP or a moving average line up with the volume profile?	
What would make this a no-trade?	

Submission Checklist

Item to Submit	Done
One chart with POC, VAH, VAL, HVN, and LVN labeled.	
A written acceptance/rejection paragraph.	
One trade plan and one no-trade plan based on the same chart.	